

mid-segment housing market continues to dominate demand, there has also been an increase in preference for luxury housing (for homes priced above ₹1 crore). In 2018, luxury housing comprised 16% of the total sales across the Top 8 cities in India. In 2022, this number rose to 27%. Going forward, factors such as the growing economy, salary growth from the high-paying services sector, and growth in the numbers of HNIs and UHNIs will continue to raise demand for luxury housing. “The luxury segment will continue to grow, as they have both the desire and the ability to commit to the product. They were only hampered by supply, which is growing significantly. In the future, we will see growth in cities like Bengaluru and Hyderabad, with new wealth creation taking place there,” says Vivek Rathi, Nation Director-Research, Knight Frank India.

Agrees Anuj Puri, Chairman of real estate consulting firm ANAROCK Group: “The growth of HNIs will eventually translate into the purchase of luxury real estate. Further, India’s per capita income is also witnessing growth, and with more people now inclined towards investing in real estate, the luxury segment may see growth.”

LUXURY HOSPITALITY

If more and more Indians appreciate the good things in life, it is only a given that they will stay at fancier places when they travel. According to a recently released Hotels Association of India report called Vision 2047: Indian Hotel Industry, the contribution of the hotel industry to the GDP was \$40 billion in 2022 and is expected to reach \$68 billion by 2027 and \$1 trillion by 2047. Although the report doesn’t provide specific numbers, it expects the luxury hospitality sector will see

significant growth alongside the lower and mid-segments.

Indian luxury travellers will become more global in their thinking. They will be keen to visit places where no one else is going and enjoy experiences that are transformational, according to Kapil Chopra, Founder of The Postcard Hotels & Resorts, a collection of boutique luxury hotels. Luxury hospitality will have to become even more customer-focussed, he says.

India’s outbound tourism market is expected to reach approximately \$55.39 billion by 2034, per a FICCI-

Nangia knowledge paper titled ‘Navigating Horizons: The Rise and Future of Indian Outbound Tourism’. However, there is no true Indian luxury hospitality chain with a global presence. Chopra thinks that that is an opportunity waiting to be tapped, and he expects a global luxury hospitality chain from India by 2047.

Overall, for those who truly value the luxury lifestyle, there is a lot to look forward to when Independent India turns 100. **BT**

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“In the decades to come, we expect Indian consumers to place even greater emphasis on exclusivity, craftsmanship, and sustainability”

PUSHPA BECTOR

SENIOR EXECUTIVE DIRECTOR AND
BUSINESS HEAD, DLF RETAIL



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